

**Table 32.10** Trading Tactics

| Trading Tactic               | Explanation                                                                                                                                                                                                                                       |
|------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Measure rule                 | Compute the pattern height from the lowest low between the two tops to the highest peak and then subtract the height from the lowest low. The result is the target price. The bottom portion of the table shows how often the measure rule works. |
| Wait for breakout            | Wait for a close below the confirmation point before selling—usually.                                                                                                                                                                             |
| Trade with market trend      | For best results, short in a bear market.                                                                                                                                                                                                         |
| Check others in the industry | To avoid 5% failures, check other stocks in the same industry and trade if they are showing topping patterns or if the stocks are falling.                                                                                                        |
| Stop location                | Consult <a href="#">Table 32.7</a> for stop placement.                                                                                                                                                                                            |
| Busted trade                 | Single busted patterns happen 65% of the time and see price climb an average of 51%. Consider trading a busted pattern.                                                                                                                           |

| Description                            | Down Breakout |
|----------------------------------------|---------------|
| Percentage reaching half height target | 82%           |
| Percentage reaching full height target | 55%           |
| Percentage reaching 2× height          | 30%           |
| Percentage reaching 3× height          | 17%           |

Although the measure rule works for the stock shown in [Figure 32.5](#), it only works 55% of the time for Eve & Adam double tops. The bottom portion of the table shows the target hit rate for various heights.

You might want to run the potential drop by [Table 32.3](#) and see what it says. In this case, a 3.20 drop in a stock with a breakout price of 31.70 is a drop of 10%. [Table 32.3](#) says that almost half (47%) of patterns will not drop